Swift Transportation Co.

In Swift Transportation Co. (SWFT), I played the big W differently. I bought when price returned to the launch price, expecting a strong move higher as oil prices were trending downward: “Sell reason: The stock has made a large down move today, following the market lower and others in the industry [are] down. I believe this will move lower, forming a handle to the big W.”

A handle *did* form, and I sold in the early part of that development at 19.25, for a loss of 8%. I watched from the sidelines as price climbed to 33.66. I missed out on a potential gain of 75%. *Sigh*.

Again, I picked the right stock, but it took me out when it formed a handle before making a strong push higher.

I don't have a lesson to share except the idea of riding price higher after it reaches the launch price might have merit. Test it to be sure it can work for you and your markets.

Sample Trade

Figure 7.4 shows this chapter's sample trade with the big W located at AC. Before I discuss the trade, let's apply the measure rule to this pattern.

The measure rule uses the height of the big W. The peak (B) between the two bottoms has a high price of 12.66. The lower of the two bottoms is C, at 11.27, for a height of 12.66 – 11.27 or 1.39. Add the height to the price at the peak (C) and you get a target of 12.66 + 1.39 or 14.05. Price will reach the target 74% of the time in bull markets, according to Table 7.10. If you want a closer target, take half the height and use that. Thus, a closer target becomes 12.66 + 1.39/2, or 13.36. Price reaches the half-height target 88% of the time.